

How to make your sales promotions more profitable

by Ogilvy & Mather

Ogilvy & Mather has been a partner with its clients in creating over \$1,500,000,000 worth of sales promotion. Here are 23 of the lessons we've learned.

Sampling

1. If you can afford to, go the whole hog: put a free sample of your product in the home. Sampling is the most effective trial producer. It is three to four times better than "cents-off" couponing. On the average, you can expect 75 percent of homes to try your product, and 25 percent of triers to go out and buy it.

2. Slip a coupon into your sample. An in-pack coupon produces up to 20 percent more users than the sample alone.

Also, always take advantage of the sample delivery to put an advertisement for your product in the consumer's hand.

3. In advertisements, be sure to make the offer of a free sample prominent. You'll seldom get more than one percent of circulation anyway. But if you bury your offer, you'll cut response to a trickle.



The advertisement at right was 25 times more effective than the one at left in dispensing samples of the product.

An advertisement Ogilvy & Mather prepared for Sine-Sin, featuring a coupon offer, pulled twenty-five times better than an advertisement in which the offer was buried in the copy.

Couponing

4. When you have to stretch your dollars, use couponing to produce trial. Over 21 billion cents-off coupons were issued last year. Fifty-eight percent of all households redeem them, and 46 percent do so every week. Sixty-five percent of coupon redeemers are non-users of the product.

5. Peg the value of your coupon at about one third the value of your product. Rate of redemption is related more to the percentage of discount than to the coupon's face value. The higher the discount, the greater the redemption. Our experience shows that one-third off is optimum.

6. When you can identify your prospects, and want maximum penetration, use mail coupons. With direct mail, you can reach fully 95 percent of homes versus 60 percent with magazines.

Since about 60 percent of the homes that receive mail coupons use them, mail coupons are more efficient on a cost-per-trier basis than sampling, and they get more new triers than media coupons, in-pack coupons, or in-store special offers.

7. Use the smallest possible advertisements for your newspaper coupons. More coupons are delivered through daily newspapers than all other methods combined. Consumers actually comb newspapers for them. So conserve your media dollars. Our experience proves the size of an advertisement has no influence on rate of redemption.



Coupons can pull hundreds of thousands of responses. This one holds the Reader's Digest record.

8. Consider adding coupons to your advertisements in magazines, too. Magazines afford the opportunity to deliver a powerful message to a demographically precise audience. If your Art Director can squeeze in a coupon without spoiling the advertisement, make him do it. (See example above.)

9. Add a second promotion device to your coupon. The effect is synergistic. Redemptions jump. But costs don't.

Look at the rate of increase when you combine another promotion with your coupon:

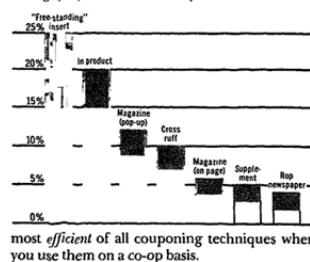
Percent increase in coupons redeemed	
Free premium offers	+10%
Refund offers	+10%
Self-liquidating premiums	+ 3%
Sweepstakes	+ 2%

10. When couponing in magazines and supplements, always buy full color. Color pays its way in coupon advertisements—plus. Average cost-per redemption of a 7¢ off coupon in magazines: 21¢ with color versus 24¢ with black and white. Average cost in supplements: 23¢ with color, 26¢ with black and white.

11. Use free-standing coupon-inserts in newspapers in preference to other types. Ogilvy & Mather's bar chart, below, tells the story. Special coupon advertisements that are preprinted and inserted between newspaper pages provide the highest redemption rates. They are among the

COUPON REDEMPTIONS

Shaded area of each bar shows range of redemptions you can expect with that particular type of coupon. (Mail coupons also produce triers in the 15-20 percent range.)



most efficient of all couponing techniques when you use them on a co-op basis.

12. Play it straight with coupon advertising. A cute headline ("Ah, cut it out!") does not produce higher coupon redemption than a straight one

("Save 7¢"). Keep your advertisement simple, and make the coupon look like a coupon, with distinctive borders, bold colors, big numbers.

Trade Coupons

13. Put your coupon in the local retailer's advertisement. It pays far better than when you put it in your own advertisement. You'll get double the redemption—at a quarter of the delivery cost.

Price-Offs

14. Put your price-off reductions in the 15 to 20 percent range. The larger the reduction, the faster the sell-through and the more triers you attract. But 15 to 20 percent off is usually most efficient. Below 7 percent, you only get your own customers.

15. Don't advertise price-off deals. No amount of advertising of price-offs seems to affect the rate of sell-through.

Refund offers

16. Use refund offers to perk up your advertising, your packaging, or your salesmen. Refund offers don't generate much consumer or trade interest, so they don't do much for sales. But they're cheap, and they can add a note of excitement to your product—and your salesmen's pitch.

You can expect less than one percent of purchasers to ask for the refund.

Contests and Sweepstakes

17. Create contests to stimulate in-store displays—not entries. An avalanche of entries may thrill the fellow who designed the contest, but a 20 to 50 percent jump in sales will do a lot more for your profits. That's the extra business a good, off-shelf display can generate.

Don't expect your contest to produce mass trial by new users. Less than 20 percent of the population has ever entered a contest.

Since it's the same people who keep entering, they get pretty sophisticated. If your contest asks for proof of purchase or facsimile, you can expect 90 percent of entries to be with facsimile!

"Send-for" Premiums

18. Offers of free premiums to people who write in for them are overrated. They seldom prompt response from more than one percent of gross circulation, rarely produce measurable sales results, and do not attract new users.

Self-Liquidating Premiums

19. Pick premiums on the basis of their ability to create trade interest and off-shelf display. Chances are you don't manufacture the premium, so don't worry how many you'll sell. Concentrate on the trade. Choose a showy premium that will get the retailer excited, so he'll offer off-shelf display. That can increase your sales 20 to 50 percent!

Confine your advertising for premiums to the back of your package. It's difficult to justify using media dollars to push self-liquidating premiums.

20. Make sure the premium encourages use of the product. At least 80 percent of today's premiums are not related to the product. They do nothing to encourage brand loyalty.

Recent Ogilvy & Mather advertisements for a Hershey Cookbook have pulled 136,000 orders to date. 136,000 cooks will be cooking with Hershey products for years to come.

Premium Packs

21. Select your premium with great care. A good on-pack or in-pack premium can create more new triers than a price-off deal, because consumers see that you're giving more value. But if your premium is bad, it will actually kill sales. Housewives abhor the idea of throwing away anything new—even if it's free!

22. Try to force off-shelf display. Advertising does not accomplish much for premium packs. But off-shelf display can boost market share.

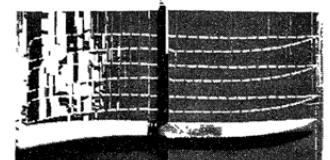
But look before you leap. A bulging, hard-to-stack premium package can force the retailer to give you desirable off-shelf display if your brand is strong, but it can be lethal if your brand is weak. The trade will simply reject your premium pack altogether.

Retailer Promotions

23. Offer on-the-spot free premiums to build traffic. A strong "free" offer can produce a 15 percent increase in traffic within a few weeks—in banks, gasoline stations, fast food outlets.

About a third of the increase will come from new triers, the rest from occasional users. Payout is quick, because most customers buy more than the minimum requirement.

Heavy advertising of the premium for a short



Free premiums build traffic quickly. Be clever. Pick items that tempt customers to make repeated purchases.

period is more effective than low levels over a longer term.

In choosing premiums, apply the "Gestalt" principle of closure. An incomplete set wants completing. A box with one steak knife and three empty spaces is irresistible.

Offices of Ogilvy & Mather

ADELAIDE	HONG KONG	NEW DELHI
AMSTERDAM	HOUSTON	NEW YORK
AUCKLAND	JAKARTA	OSLO
BARQUISIMETO	JOHANNESBURG	PARIS
BOGOTA	KUALA LUMPUR	PORTO
BOMBAY	LAGOS	ALEGRE
BRISTOL	LONDON	RIO DE
BRUSSELS	LOS ANGELES	JANEIRO
BUENOS AIRES	MADRAS	SÃO PAULO
CALCUTTA	MARACAIBO	SINGAPORE
CARACAS	MELBOURNE	STOCKHOLM
COPENHAGEN	MEXICO CITY	SYDNEY
GLASGOW	MILANO	TORONTO
HELSINKI	MONTEAL	VIENNA
	NAIROBI	WELLINGTON

Invitation: Ogilvy & Mather has a comprehensive, one-hour "Magic Lantern" on sales promotion, which includes data we prefer not to publish. If you are seriously interested in seeing it, write to Charles Fredericks at our New York office.

Ogilvy & Mather

2 East 48th Street, New York, N.Y. 10017
5900 Wilshire Boulevard, Los Angeles, Calif. 90036
2600 Two Shell Plaza, Houston, Texas 77002

How to Sales Promo Ad by David Ogilvy
(<https://swiped.co/how-to-sales-promo-ad-by-david-ogilvy>)
Swiped in March 2014
Ran 1974